Executive Summary

PedalSpark has been successful selling its $4,000 premium e-bike directly through its website. The company now plans to launch a cheaper entry-level model that is meant to appeal to a wider group of riders. The main question is how PedalSpark should sell this new bike. The company could continue selling only on its website, start selling through Amazon, or combine both approaches.

At this point in its growth, PedalSpark needs to be careful about relying too much on Amazon. Amazon can help a company reach a huge number of customers very quickly, but it also has some downsides, especially for smaller brands that are still building their reputation. Most customers shopping on Amazon focus mainly on price, reviews, and delivery speed rather than the brand itself. This means PedalSpark could end up competing mainly on price with other e-bike sellers. In addition, Amazon controls most of the customer data and the relationship with the buyer.

Because PedalSpark is still an emerging brand, selling directly to customers is important. When customers buy through the company's website, PedalSpark controls the experience. This helps the company build a stronger brand over time. However, relying only on the website may limit how many people discover the new entry-level bike, especially since it is aimed at a more price-sensitive and broader market.

There are three possible channel strategies. The first option is to sell both bikes only through the company's website. This approach protects the brand and keeps full control over pricing, marketing, and customer relationships. However, it may slow growth because PedalSpark would have to spend more on advertising to attract new customers.

The second option is a hybrid strategy. In this case, the $4,000 premium bike would continue to be sold only on PedalSpark's website, while the new lower-priced bike would also be sold on Amazon. This allows the company to keep the premium bike positioned as a high-end product while using Amazon to reach more customers with the affordable model. Although Amazon fees will reduce margins on the entry-level bike, the platform could help the company increase visibility and sales.

The third option is selling both bikes on Amazon. While this could lead to higher short-term sales, it also creates long-term risks. Both products would face stronger price competition, and PedalSpark would lose control over the customer relationship and brand experience. Over time, this could weaken the company's premium image.

Based on these factors, the hybrid strategy is the best option. PedalSpark should continue selling the premium bike only on its website while listing the entry-level bike on Amazon to reach a larger audience. At the same time, the company should encourage Amazon buyers to register their bikes for warranty or support on PedalSpark's website so it can build a direct relationship with those customers.

Overall, the hybrid strategy gives PedalSpark the best balance between growth and brand building. It allows the company to reach more customers while still protecting the premium image and customer relationships that are important for long-term success.